London Borough of Hounslow

Report for: ACTION	
Contains Confidential or Exempt Information	***N***
Cabinet Key Decision	***N***

Report Title	Budget 2026/27: Reference Report to Borough Council from the Meeting of the Cabinet held on 10 February 2026
Member Reporting	Councillor Shantanu Rajawat Leader of the Council and Cabinet Member for Strategy, Resources and External Affairs
Contact Details	Jake Bacchus Executive Director of Finance and Resources jake.bacchus@hounslow.gov.uk
For Consideration By	Borough Council
Date to be Considered	Tuesday, 3 March 2026
Deadline for call-in	Not applicable
Affected Wards	All Wards

1. Recommendations

Borough Council is asked to agree the following recommendations made by Cabinet at the meeting on 10 February 2026:

Council Tax

a) The Council Tax Requirement arising from Cabinet's proposed budget for 2026/27 of £158.437 million as detailed in the attached Cabinet report and as per Appendix B thereof [Item R in the formula in Section 31B of the Local Government Finance Act 1992, as amended (the "Act")];
b) Note that at its meeting on 20 January 2026, Cabinet approved the Council Tax Base for 2026/27 for the whole council area as 94,586.52 [Item T in the formula in Section 31B of the Act];
c) Agree that the following amounts be calculated for the year 2026/27 in accordance with Sections 31 to 36 of the Act:

(i) £879,493,781 being the aggregate of the amounts which the Council estimates for its total expenditure in accordance with the items set out in Section 31A (2) of the Act;

(ii) £721,056,781 being the aggregate of the amounts which the Council estimates for its total income in accordance with the items set out in Section 31A (3) of the Act;

(iii) £158,437,000 being the amount by which the aggregate (c)(i) above exceeds the aggregate at (c)(ii) above, calculated by the Council in accordance with Section 31A (4) of the Act as its Council Tax Requirement for the year (Item R in the formula in Section 31B of the Act);

(iv) £1,675.05 being the amount at (c)(iii) above (Item R), all divided by Item T at (b) above, calculated by the Council, in accordance with Section 31B of the Act, as the basic amount of its Council Tax for the year;

d) Note that for the year 2026/27 the Mayor of London has issued a Greater London Authority (GLA) draft consolidated budget setting out his proposed precept on the Council Tax, which for a Band D property will be £510.51, an annual increase of £20.13, and in accordance with Section 40 of the Local Government Finance Act 1992 for each category of dwellings in the Council's area as indicated in the table in recommendation (e) below;

e) Agree that, in accordance with Sections 30 and 36 of the Local Government Finance Act 1992, Cabinet hereby calculates the aggregate amounts shown in the table below as the amounts of Council Tax for 2026/27 for each part of its area and for each of the categories of dwellings;

Valuation Band	**A**	**B**	**C**	**D**
Banding Factor	6/9	7/9	8/9	9/9
Hounslow Council Tax (£)	1,116.70	1,302.82	1,488.93	1,675.05
GLA Precept (£)	340.34	397.06	453.79	510.51
Total Council Tax (£)	**1,457.04**	**1,699.88**	**1,942.72**	**2,185.56**
Valuation Band	**E**	**F**	**G**	**H**
Banding Factor	11/9	13/9	15/9	18/9
Hounslow Council Tax (£)	2,047.28	2,419.52	2,791.75	3,350.10
GLA Precept (£)	623.96	737.40	850.85	1,021.02
Total Council Tax (£)	**2,671.24**	**3,156.92**	**3,642.60**	**4,371.12**

f) Determine that the council's basic amount of Council Tax for 2026/27 is not excessive in accordance with principles approved under Section 52ZB of the Local Government Finance Act 1992;

g) That the Executive Director of Finance and Resources be and is hereby authorised to give due notice of the said Council Tax in the manner provided by Section 38(2) of the 1992 Act;

h) That the Executive Director of Finance and Resources be and is hereby authorised when necessary to apply for a summons against any Council Taxpayer or non-domestic ratepayer on whom an account for the said tax or rate and any arrears has been duly served and who has failed to pay the amounts due to take all subsequent necessary action to recover them promptly;

i) That the Executive Director of Finance and Resources be and is hereby authorised to collect revenues and distribute monies from the Collection Fund and is authorised to borrow or to lend money in accordance with the regulations to the maximum benefit of each fund;

<u>Revenue Budget</u>

j) The savings for 2026/27 and 2027/28 as set out in Appendix C of the attached report;
k) The fees and charges schedule in Appendix D of the attached report;
l) Note that the Housing Revenue Account (HRA) Business Plan 2026/27 informs the HRA budget, and to agree the HRA budget for the 2026/27 financial year as detailed in paragraphs 9.1 to 9.9 of the attached report;
m) Note the Dedicated Schools Grant allocations as set out in Section 7 of the attached report and the resultant impact on individual schools' budget;
n) Delegate to the Executive Director of Finance and Resources, the responsibility to make any technical adjustments to the budget as required;
o) Delegate the allocation of inflation to service budgets and the re-basing of corporate contingencies to service budgets within the revenue budget for 2026/27 to the Executive Director of Finance and Resources as detailed in Table 3 of the attached report;

<u>Reserves</u>

p) Note the Council's forecast reserves position as at the end of 2025/26 financial year;
q) Agree the Council's Reserves Strategy as set out at paragraphs 6.47 to 6.57 of the attached report;
r) Note the Executive Director of Finance and Resources review of General Fund balances required for 2026/27 as set out at paragraph 6.52 of the attached report and in Appendix H thereof;
s) Note the Executive Director of Finance and Resources delegated powers to approve the use of any reserves to support the Council's budget, as per the Reserves Strategy;

<u>Capital and Treasury Management</u>

t) The capital programme for 2026/27 to 2029/30 as detailed in paragraphs 10.1 to 10.11 of the attached report and in Appendix E thereof;
u) The Capital Strategy in Appendix F of the attached report;
v) The Treasury Management Strategy 2026/27, Annual Investment Strategy, Statement on Minimum Revenue Provision and Prudential and Treasury Indicators and Approved Countries for Investment as detailed in paragraphs 12.1 to 12.5 of the attached report and in Appendix G thereof;
w) The Council's intention to use the Government's Flexible Use of Capital Receipts policy to deliver transformation savings that supports the One Hounslow Financial Strategy;
x) That the Executive Director of Finance and Resources be authorised to undertake the operational activity required to manage cashflows including:

- authority during 2026/27 to make amendments to borrowing and investment limits provided they are consistent with the strategy and there is no change to the authorised limit for borrowing;
- authority to borrow as per the approved borrowing requirements set out in the Prudential and Treasury Indicators;
- authority to invest with institutions that meet the creditworthiness criteria within the Annual Investment Strategy;
- to make amendments to existing, or put in place additional; lending facilities to support the activities of Lampton Group the Council's wholly owned subsidiaries;

Other

y) Note the Executive Director of Finance and Resource's (Chief Finance Officer) Section 25 report, commenting on the adequacy of reserves and the robustness of the estimates underpinning the budget contained at Appendix I of the attached report;

z) Agree to delegate authority to the Executive Director of Finance and Resources in consultation with the Leader of the Council to recognise the budget and agree procurement activity to allow enable mobilisation of support using the Crisis and Resilience Fund Grant as described in paragraph 6.32 of the attached report.

2. Report Summary

1. This report sets out Cabinet's formal recommendations to Borough Council in respect of the General Fund revenue budget for 2026/27 and the resulting level of Council Tax, along with the recommended Housing Revenue Account (HRA) budget for 2026/27, the capital programme for 2026/27 to 2029/30, the updated Capital Strategy, fees and charges, the Treasury Management Annual Strategy, Annual Investment Strategy, Statement on Minimum Revenue Provision and Prudential and Treasury Indicators, arising from Cabinet's budget decisions taken on 10 February 2026, based on the attached Cabinet report.

2. The General Fund budget recommendations result in a Council Tax Requirement of £158.437m, leading to a Band D Council Tax of £1,675.05, an increase of 4.99%. The 2026/27 increase in the Council Tax is in two parts, firstly an Adult Social Care precept of a 2% increase over the Council Tax for 2025/26, and secondly a general increase in Council Tax of 2.99%.

3. The report's recommendations include the formal statutory calculation required for setting the Council Tax for 2026/27, as set out in Sections 30, 31 and 36 of the Local Government Finance Act 1992. These recommendations are being made because under the council's budget and policy framework, Borough Council is required to consider Cabinet's budget recommendations and formally set the budget and Council Tax for 2026/27, in line with statutory requirements.

4. Approval of the budgets, fees and charges and strategies in this report will allow the council to continue its ongoing operations and maintain internal financial controls throughout the 2026/27 financial year. Resident households will be individually notified of the increase in Council Tax in billing for 2026/27 issued in March 2026. This will also include an expected increase in the Greater London Authority (GLA) precept, as set out in the attached report.

5. The GLA precept and associated Council Tax recommendation is based on the draft consolidated budget released by the Mayor of London in January 2026. Although not expected to change, the GLA precept will only be confirmed following the London Assembly meeting due to be held on 26 February 2026.

6. The attached report also includes a Section 25 report from the Chief Financial Officer, under his responsibilities as the council's statutory Section 151 Officer, on the adequacy of the council's balances and reserves, and on the robustness of the estimates. The comments of the Monitoring Officer contain further detail on the statutory requirements of the council in relation to budget and Council Tax setting.

7. Attached to this reference report is the Budget Report agreed for formal recommendation to Borough Council by Cabinet following their meeting on the 10 February 2026. This includes the following appendices:

   Appendix A – (Draft) Council Tax Resolution
   Appendix B - Budget Summary
   Appendix C – Savings Proposals – General Fund and HRA
   Appendix D – Fees and Charges Schedule
   Appendix E – Capital Programme
   Appendix F – Capital Strategy
   Appendix G - Treasury Management Strategy 2026/27, Annual Investment Strategy, Statement on Minimum Revenue Provision and Prudential and Treasury Indicators
   Appendix H – Balances and Reserves
   Appendix I - Section 151 Officer's Section 25 Report

REPORT ENDS